India is, nevertheless, projected to be the **second-fastest-growing** major economy (7 per cent) after China (8.2 per cent) as per the IMF. In the medium term, challenges for the global economy continue to emanate from the way the eurozone crisis is addressed. The high deficits and debts in Japan and the United States and slow growth in high income countries in general, have not been resolved. The looming risk to the global outlook is also on account of the geopolitical tensions centred on Iran that could disrupt oil supply and result in a sharp increase in oil prices and even disrupt supply routes.

While the current conjuncture is important for anticipating outcomes in the short to medium term, the current global situation is also a manifestation of certain long-term developments and changes in the relative positions of the major economies that have now perhaps reached certain critical proportions.

CHANGING DYNAMICS

The global economy has gone for a big change in its dynamics over the last two decades and this process has every potential to further the change in coming years and may be for decades to come. The shares of major economies in global GDP, manufacturing, and trade —a few traditional tools of assessing global economy—suggest that there has been a marked change in the configuration of the world economy (especially over the last decade). Over the last 20 years, sustained growth of a number of emerging economies, especially the BRICS economies, has resulted in an increase in their share in the global GDP. As a consequence, the value addition in the world economy has been moving away from advanced countries towards what have been termed emerging economies. The decline in share is particularly marked in the case of the EU. The shift towards Asia has been significant and, within Asia, away from Japan to China and India. The *fivefold* increase in share of China in the global GDP has placed it as the second largest economy in the world. The increase in share of India, though less dramatic, is nevertheless of an order that places her as the ***fourth*** largest economy in PPP terms[7].